

Candlestick Chart

Fundamentals

It is a type financial chart which is used to describe price movements of currency or likewise

Components:

1. Real Body
2. Shadow/Wick
3. Color



Source: https://datavizcatalogue.com/methods/candlestick_chart.html

Advantages & Disadvantages

Pros:

1. Easy to depict
2. Proven technique for many years

Cons:

1. They look different on every time frame
2. It is also an opinion that the chart can be a lagging indicator – for eg.:- Japanese candlesticks are a lagging indicator because most traders have to wait until the close of a candle before executing a trade

Applications in Finance

- Investors can use candlestick charts to study the market as well as the psychology of market participants in the context of stock trading
- The chart can also be used to identify changes in trader sentiment

Unique Use Cases

1. Besides finance, these can be used to measure variations in sensitive environmental variables like
 - a. Temperature
 - b. Humidity
 - c. Pressure
2. Can be used in healthcare sectors for keeping measurement of patient's data points

Important Links

Candlestick – https://en.wikipedia.org/wiki/Candlestick_chart,
<https://www.investopedia.com/trading/candlestick-charting-what-is-it/>, <https://www.investorsunderground.com/stock-charts/candlestick-charts/>,
<https://en.softonic.com/solutions/what-are-the-best-candlestick-charts-apps-for-android>,
<https://www.investopedia.com/articles/active-trading/092315/5-most-powerful-candlestick-patterns.asp>,
<https://www.investopedia.com/articles/active-trading/062315/using-bullish-candlestick-patterns-buy-stocks.asp>